

Establishing Federal Standards for Artificial Intelligence: The AI Transparency Act

To: United States Senate Committee on Homeland Security and Governmental Affairs

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The federal government has been strongly encouraging federal digital services and government algorithms to integrate Artificial Intelligence (AI), but there are no enforceable standards for their deployment, and no requirement for risk assessments on their integration. The federal government has no framework in place to deal with potential issues, nor does it provide any way to track the extent of AI use by agencies, which creates uncertainty about how AI is being applied and its impact. This memo proposes the AI Transparency Act, which will require any government system or algorithm that uses AI to have a disclaimer of the use of AI, mandate risk assessments aligned with the National Institute of Standards and Technology's guidance, and expand the capacity of the federal government to provide sufficient technical oversight. By utilizing the Office of Management and Budget to oversee implementation, with the Inspector General and the Government Accountability Office providing oversight, the Act establishes safety standards and enforces accountability while supporting the integration of AI by the federal government.

Background

Artificial Intelligence (AI) has corporations and governments invested in its development and integration within existing structures, with the promise of providing improved services. Advancements in AI capabilities have resulted in the U.S. government actively advocating for its adoption at the federal level [1]. While exciting, the technology comes with caveats. The tendency of AI systems to “hallucinate” or fabricate data to support their claims when false [2] is a dangerous characteristic that cannot be ignored, especially if integrated with government agencies and services. Another problem is that the rapid deployment and proliferation of AI services have blurred the distinction between interacting with a human or an AI. The quality of content generated by AI is displaying higher levels of accuracy and realism in creating artificial media. This has fostered conversations about AI's applications and the potential for misuse, making it increasingly difficult to differentiate between real and synthetic content [3]. These drawbacks highlight the necessity for transparency regarding the use of AI and the content it generates. Given the public-facing nature of government services, the federal government is in an ideal position to set a standard that informs users of interaction with AI systems. However, even as the abilities of AI have accelerated, legislation regarding AI safety is nonexistent at the federal level, with no enforceable baselines or standards established.

The executive branch of the government has advocated for integration of AI through Executive Order (E.O.) 14179 [4] and through Office of Management and Budget Memorandum M-25-21 [5], which both promote federal agencies empowering AI to provide services for the public while respecting civil liberties

and privacy. AI has the potential to assist in multiple use cases in public services, with a study finding that the most popular uses of AI by governments were related to public-facing service delivery, internal operations, internal and external oversight activities, and assisting policymaking [6]. The benefits must be balanced against operational and ethical risks present in government-integrated AI, a delicate balance illustrated by examples such as the “toeslagenaffaire,” or the child care benefits scandal in the Netherlands, where a self-learning AI system wrongfully accused families of childcare welfare fraud [7]. Given that the federal government publicly disclosed its intentions to accelerate the development and integration of AI, it is important that this is done safely and ethically while promoting innovation. At the moment, there do not exist any federal statutes on AI safety; however, there is the National Institute of Standards and Technology’s (NIST) AI Risk Management Framework (AI RMF 1.0)[8], which is an advisory framework lacking enforcement authority that aims to help organizations identify and manage risks related to the AI system lifecycle.

A major issue that has limited legislative action is disagreement on how AI systems should be regulated and what methods would be effective, given the dynamism and unpredictability of AI systems and how they operate as compared to traditional software whose code and outputs remained relatively fixed [9]. While numerous states have taken steps to begin this arduous task of AI safety and regulations through state-level legislation, such as the Colorado Artificial Intelligence Act (SB24-205) [10], there are multi-jurisdictional compliance challenges that question the enforceability of state laws on AI. Given the lack of existing frameworks, cross-jurisdictional compliance challenges, and complexities of establishing effective AI safety standards, it is important to begin by setting a precedent that could evolve to solve these challenges in accordance with the current capabilities of the federal government with respect to regulating AI.

This policy memo discusses an “AI Transparency Act” that would require any digital platforms operated, contracted, or sponsored by any government entity in the United States to provide a clear disclaimer for any algorithm, model, or system using AI that interacts with users or is used in the process of service eligibility and benefit determinations. The goal of this act would be to set an initial standard from which comprehensive and enforceable AI safety frameworks can evolve as the technology and safety standards also evolve. A disclosure would inform citizens and create a starting point for efficient AI safety evaluation by regulating what we can, rather than creating laws that will become redundant in the near future.

Key Definitions

Artificial Intelligence/AI Systems: Any application or program that uses “Artificial Intelligence” or “Artificial intelligence systems” as defined in 15 U.S.C. § 9401(3) [11].

Digital platform: Any digital application, website or electronic system used by a government entity, or by a contractor on its behalf, using or providing any service consistent with “electronic Government” in 44 U.S.C. § 3601(3) [12].

Government entity: “an agency, instrumentality, or other entity of Federal, State, or local government (including multijurisdictional agencies, instrumentalities, and entities)”, consistent with 15 U.S.C. § 6602(3) [13].

Clear disclaimer: Any clearly written or spoken notice that uses “plain writing” consistent with the Plain Writing Act of 2010 (Public Law 111-274) [14], informing the user that AI was used at any stage in generating the relevant content or service.

Analysis

The current state of AI safety regulations at the federal level highlights a multitude of shortcomings that future legislation must address. To begin with, there are no rules that hold agencies accountable for AI use, as NIST’s AI Risk Management Framework is a voluntary guideline. An enforceable framework for AI-related governance must be established for the federal government to manage AI safety risks and monitor compliance with any future AI legislation. The absence of government regulations has come under scrutiny. The public opinion on current AI regulations has been mixed, with 62% not confident that the government will regulate AI effectively and 56% largely worried that the U.S. government will not go far enough in regulating AI [15]. The introduction of new regulations would address public concern.

It is important to account for AI’s dynamism, which requires a flexible framework that will not hinder future development of safety mechanisms. The failure to incorporate flexibility will result in regulations that quickly become outdated and vulnerable to exploitation. A prominent example is the Electronic Communications Privacy Act of 1986, which required warrants to access emails under 180 days old but only needed subpoenas for older emails. Because the law failed to account for future storage mechanisms such as cloud computing, it created a loophole that allowed the government access to data without requiring probable cause [16]. Laws and regulations regarding AI safety must be flexible enough to evolve as technology advances.

Government algorithms already use some form of AI, as illustrated by a policy memo [17] released by the Food and Nutrition Service (FNS) in February 2025 regarding the incorporation of automation in determining eligibility for the Supplemental Nutrition Assistance Program (SNAP). The incorporation of AI into these algorithms may improve accuracy and efficiency but poses risks, especially if used for benefit determination. While agencies such as the Department of Health and Human Services [18] have promoted the use of a notice to inform users if AI was used to determine benefits and assess algorithms used to prevent biases, these are recommendations and not legally enforceable. The primary safety net for Americans who claim benefits is the Right to Due Process[19][20], which empowers citizens to appeal any benefit eligibility determinations. Without a pipeline to track and analyze the use of AI in benefit-determining algorithms, agencies are unable to track potential problems, transferring the burden to the benefit-seeking citizen, leaving the Right to Due Process as the only safeguard to report any inconsistencies or issues.

The capabilities of the federal government to work with AI and run risk analyses must also scale and advance. The government is already struggling to keep pace with AI, even with limited regulation, as in the case of the FDA and AI-powered medical devices, with the former FDA Commissioner Robert Califf

explaining in 2024 that the agency would need to be doubled in size to proactively regulate medical devices that incorporate AI [21]. This sentiment was echoed by the Government Accountability Office (GAO) in report GAO-25-107435 [22] published in January 2024, discussing how risk assessments on the use of AI from six agencies did not fully evaluate the level of risk and did not include a measurement that reflected the level of impact and the probability of an event occurring. The lack of risk assessments restricted the agencies' ability to map mitigation strategies to risks. The GAO report highlights how federal agencies have failed to safely integrate AI, and with no guardrails present, this will likely continue.

States have been proactive in introducing legislation on AI; however, they lack practical execution. An example would be the Texas Responsible AI Governance Act [23], which extends its jurisdiction to any person who "promotes, advertises, or conducts business" in Texas, produces products or services used by Texas residents, or develops or deploys AI systems in the state. This is problematic as AI models mostly rely on cloud computing [24] which results in the request processing happening in a data centre elsewhere, and since this is region based, a user would have their request processed on the cloud in another location, maybe a different state, highlighting how limiting regulation to a single state or area will not cover AI systems, creating compliance loopholes and regulatory gaps.

Recommendation

- 1) Congress should require any digital platforms operated, contracted, or sponsored by any federal agency or contractor in the United States to provide a clear disclaimer for any algorithm, model, or system using AI: The use of a clear disclaimer will protect the rights of citizens to know if AI was used to support their interactions with the government. The disclaimer will be issued before the user interaction to ensure that if the user accesses the service, they are informed while they do. For algorithms used to determine the outcome of benefits or service eligibility determinations, the disclaimer will be provided with the decision. The disclaimer must state the use of AI, explain where and the extent to which it was applied. This increases accountability and allows the government to track their use of AI, facilitating informed appeals processes when individuals contest AI-generated decisions.
- 2) Require mandatory risk assessments for any digital platforms operated, contracted, or sponsored by any government entity that uses AI: It should be a requirement for any government entity operating, sponsoring, or contracting digital platforms that deploy Artificial Intelligence to conduct standardized risk assessments prior to and periodically after deployment. The assessments should be in accordance with the National Institute of Standards and Technology's AI Risk Management Framework (AI RMF), as revised and updated. This establishes consistent regulations and ensures that AI safety standards are updated as required, providing dynamism that enables the government to quickly adapt to evolving AI safety standards.
- 3) Enhance the AI evaluation capabilities of the US Government: To ensure enforcement of disclosure and risk assessment requirements, Congress should authorize funding to expand technical expertise within federal agencies responsible for deploying, auditing, and evaluating Artificial Intelligence systems. The funding would apply to recruitment of technical personnel,

establishing training programs, expanding audit capacities and creating a pathway for becoming a qualified AI safety evaluator. This would ensure the government workforce can effectively conduct risk evaluations, verify compliance, and assess AI systems.

Implementation

Implementation of the AI Transparency Act requires centralized coordination. The Act should rely on existing federal institutions to avoid the complexities that would arise with the creation of a new regulatory body. The Office of Management and Budget (OMB) will oversee the implementation of the Act. All government entities and agencies must conduct internal inventories identifying all digital platforms involving AI and all workflows in which AI is involved. For all applications listed in the inventory, there must be clear disclaimers that state that AI was used and the function it performed. These disclosure requirements and inventory standards will also apply to digital platforms belonging to external vendors contracted or sponsored by the federal government.

All federal government entities must satisfy minimum risk assessment standards aligned with the National Institute of Standards and Technology's AI Risk Management Framework. The framework provides a structured approach for managing risks associated with artificial intelligence systems throughout their lifecycle. It organizes AI risk management around four core functions: Govern, Map, Measure, and Manage. Govern includes establishing review structures and training employees in risk fluency. Mapping requires creating inventories of AI systems, tracking their use, including the data they utilize, the decisions they influence, and the regulations (Ex, HIPAA) that apply. Measure is to assess how risk manifests, observing if models exhibit bias and how stakeholders can be affected. Manage is to establish risk mechanisms like access controls for sensitive data and monitoring for degradation in quality and accuracy [25].

Agencies should achieve operational compliance within 12 months of enactment of the Act and submit annual reports to OMB confirming completion of required risk assessments. To strengthen oversight and technical capacity, Congress should authorize funding to expand AI evaluation expertise within agencies responsible for deploying, auditing, and reviewing Artificial Intelligence systems. The funds will support external recruitment, training programs for current employees, and modernization of tools. The funds will also support greater audit capabilities of federal agencies and oversight bodies. Strengthening institutional expertise ensures that disclosure and risk assessment requirements are effectively enforced.

To effectively evaluate, the government must invest in establishing programs that train employees in AI safety evaluation. The programs should also be evaluated every 6 months to ensure the qualifications remain in line with the standards as they evolve. By creating a certification process, there will be a structured system where those interested in evaluation roles have a defined path and the government has a standard for hiring evaluators. An avenue for increasing the technical workforce is the job market in which computer science and computer engineering graduates have some of the highest unemployment rates among all majors, according to the Federal Reserve Bank of New York [26]. This provides an opportunity for the government to hire new grads that are technically proficient and looking for work at lower costs than it would be to lure professionals from corporations. These new hires will be required to acquire the same certification, ensuring uniformity in qualifications for all evaluators.

The Agency Offices of Inspector General should conduct audits to verify compliance with disclosure and risk assessment requirements. The Government Accountability Office should conduct periodic evaluations to identify compliance gaps. Agencies that do not meet these standards must submit action plans to address identified weaknesses. OMB should publish an annual public summary report covering agency compliance statistics for clear disclaimers and sufficient implementation of risk assessments. This implementation framework utilizes existing federal institutions and creates enforceable accountability mechanisms without imposing obstacles that stifle AI innovation.

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